Seeking Alpha

Transcripts

Thermo Fisher Scientific Inc. (TMO) Q1 2026 Earnings Call Transcript

Apr 23, 2026, 11:31 AM ET | **Thermo Fisher Scientific Inc. (TMO) Stock**, **TMO:CA Stock**

SA Transcripts
159.69K Followers

Follow us on Google for the latest stock news

Q1: 2026-04-23 Earnings Summary

Insights

EPS of $5.44 beats by $0.20 | Revenue of $11.01B (6.18% Y/Y) beats by $144.21M

Thermo Fisher Scientific Inc. (TMO) Q1 2026 Earnings Call April 23, 2026 8:30 AM EDT

Company Participants

Rafael Tejada - Vice President of Investor Relations
Marc Casper - Chairman & CEO
James Meyer - Senior VP & CFO

Conference Call Participants

Michael Ryskin - BofA Securities, Research Division
Tycho Peterson - Jefferies LLC, Research Division
Jack Meehan - Nephron Research LLC
Daniel Arias - Stifel, Nicolaus & Company, Incorporated, Research Division
Matthew Larew - William Blair & Company L.L.C., Research Division
Daniel Brennan - TD Cowen, Research Division
Casey Woodring - JPMorgan Chase & Co, Research Division
Justin Bowers - Deutsche Bank AG, Research Division

Presentation

Operator

Good morning, ladies and gentlemen, and welcome to the Thermo Fisher Scientific 2026 First Quarter Conference Call. [Operator Instructions]

I would now like to introduce our moderator for the call, Mr. Rafael Tejada, Vice President of Investor Relations. Mr. Tejada, you may begin.

Rafael Tejada
Vice President of Investor Relations

Good morning, and thank you for joining us. On the call with me today is Marc Casper, our Chairman and Chief Executive Officer; and Jim Meyer, Senior Vice President and Chief Financial Officer. Please note this call is being webcast live and will be archived on the Investors section of our website, thermofisher.com under the heading News, Events & Presentations until July 22, 2026. A copy of the press release of our first quarter earnings is available in the Investors section of our website under the heading, Financials.

So before we begin, let me briefly cover our safe harbor statement. Various remarks that we may make about the company's future expectations, plans and prospects constitute forward-looking statements within the meaning of applicable securities laws. Actual results may differ materially from those indicated by these forward-looking statements as a result of various important factors, including those discussed in the company's most recent annual report on Form 10-K and subsequent quarterly reports on Form 10-Q under the heading, Risk Factors. These forward-looking statements are based on our current expectations and speak only as of the date they are made. While we may elect to update forward-looking statements at some point in the future, we specifically disclaim any obligation to do so even in the event of new information, future developments or otherwise.

Also, during this call, we will be referring to certain financial measures not prepared in accordance with generally accepted accounting principles or GAAP. A reconciliation of these non-GAAP financial measures to the most directly comparable GAAP measures is available in the press release of our first quarter earnings and also in the Investors section of our website under the heading, Financials.

So with that, I'll now turn the call over to Marc.

Marc Casper
Chairman & CEO

Thank you, Raf. Good morning, everyone, and thanks for joining us today for our first quarter call. As you saw in our press release, we delivered a strong start to the year. Our end markets are progressing in line with our expectations. We continue to strengthen and add to our capabilities by executing our proven growth strategy and completing the acquisition of Clario. Our progress in the quarter further advances our leadership position as the trusted partner to our customers. And as you know, we're actively managing the company, leveraging our global scale and the strength of our PPI Business System to create value for our stakeholders and position our company for a very, very bright future.

To start, let me recap the first quarter financial results. Our revenue grew 6% to $11.01 billion. Adjusted operating income grew 6% to $2.4 billion. Q1 adjusted operating margin was 21.8%, and we grew adjusted EPS by 6% to $5.44 per share.

Turning to our end markets, performance played out as we expected. I'll briefly cover each end market, starting with pharma and biotech. We delivered mid-single-digit growth during the quarter. Performance was driven by strength in our bioproduction business, our clinical research business and our safety -- research and safety market channel. In academic and government, revenue declined low single digits driven by muted macro conditions in the U.S. and China. In industrial and applied, growth was flat during the quarter. Growth was led by our chromatography and mass spectrometry business as well as the research and safety market channel. Finally, in diagnostics and health care, revenue declined in the mid-single digits. We delivered another quarter of strong growth in our transplant diagnostics business.

As I look ahead, we see our end markets progressing as expected in our original guidance. When I think about the broader macroeconomic environment, there is added complexity, of course, given the conflict in the Middle East and we expect this to create some modest level of inflationary pressure. Our customers remain focused on advancing their priorities, and we expect our end markets to prove resilient. We are well positioned to navigate through this period, leveraging our experienced management team, global scale, and the strength of our PPI Business System.

Let me now provide some highlights from our growth strategy this quarter. As a reminder, our growth strategy consists of three pillars: high-impact innovation, our trusted partner status with customers, and our unparalleled commercial engine.

Starting with the first pillar of our growth strategy: high-impact innovation. We had an excellent start to the year. Our innovation enables customers to advance science and improve lives around the world. During the quarter, we launched a number of new technologies across our business that strengthen our industry leadership and help customers break new ground in their important work.

In our Analytical Instruments business, we introduced the Thermo Scientific Glacios 3 Cryo-TEM, a next-generation cryo-transmission electron microscope that features AI-enabled workflows. What's really exciting about this launch is that it further democratizes access to cryo-EM through the robustness of the instrument that allows us installation in a broader range of lab spaces, bringing high-end structural biology capabilities to more customers.

In mass spectrometry, we introduced the Thermo Scientific TSQ Certis, triple quad mass spectrometer. This advanced platform delivers faster, high-quality results helping customers enhance productivity and reliability in pharmaceutical and applied markets. We also launched the Thermo Scientific Niton xL5e Handheld XRF Analyzer, which is a great addition to our handheld portfolio. This new instrument enables industrial and applied customers to identify materials in the field, helping them drive productivity and speed decision-making.

In Life Sciences Solutions, we launched the Gibco CTS Compleo Fill and Finish System. This automated system helps address manual fill and finish challenges in cell therapy manufacturing, enhancing productivity and reliability while enabling scalable manufacturing.

In Laboratory Products, we introduced the FluidEase Pro ClipTip electronic pipettes, which improves precision and efficiency in everyday lab work helping customers generate more reliable results.

Let me now cover the remaining pillars of our strategy. Our trusted partner status provides us with unique insights to guide our strategy and continually strengthen our capabilities for our customers. At the same time, our industry-leading commercial engine enables us to deliver those at scale. During the quarter, we continued to strengthen our leading position in both of these areas.

Earlier in the year, we announced a strategic collaboration with NVIDIA, combining our leadership and laboratory technologies with NVIDIA's advanced AI capabilities. The team is making great progress working together towards the commercialization of new workflow solutions that will enhance scientific instrumentation and help customers work faster, improve accuracy and get more value out of each experiment. To further strengthen our U.S. drug product manufacturing capabilities for our pharma and biotech customers, we formed a strategic collaboration with SHL Medical, a leading provider of advanced drug delivery systems. We will be leveraging our recently acquired Ridgefield, New Jersey sterile fill-finish site to offer fully integrated sterile fill-finish and device assembly solutions for our customers.

Another great example of our trusted partner status is the continued adoption of our unique accelerated drug development offering, which combines our leading capabilities in pharma services and clinical research. This competitive differentiator is translating into strong performance and share gain in our clinical research business, which delivered strong revenue and authorizations growth once again in the quarter. We also continue to invest in our commercial engine to ensure we're meeting the current and future needs of our customers. Let me share an example.

We opened a new Cryo-EM Drug Discovery Center in San Francisco. It provides pharma and biotech customers with hands-on access to further accelerate adoption of our advanced cryo-EM technologies to advance drug development. So wrapping up on our growth strategy, we made great progress during the quarter, and we're continuing to advance our leadership position.

Let me now turn to capital deployment. We continue to successfully execute our disciplined approach to capital deployment, which is a combination of strategic M&A and returning capital to our shareholders. In late March, we completed the acquisition of Clario and had a terrific kickoff with our new colleagues. Clario is a market leader in digital endpoint data solutions. This technology business is an outstanding strategic fit and highly complementary to our clinical research capabilities. It enhances our ability to serve pharma and biotech customers by enabling deeper clinical insights and helping improve the productivity of the drug development process. This acquisition is a great example of the value that our proven M&A strategy creates for the company. Clario further strengthens Thermo Fisher's position as the trusted partner to pharma and biotech customers delivering important benefits to enable their success. And the acquisition has a very attractive return profile for our shareholders.

We're also very pleased with the progress we're making with our filtration and separation business, which we acquired from Solventum. I had the chance to visit the team in Germany recently. The business is performing very well. The integration is going smoothly and customer enthusiasm for these capabilities is very high.

Finally, in terms of return of capital during the quarter, we repurchased $3 billion of shares and increased our dividend by 10%.

Let me now give you a brief update on our PPI Business System because of its relevance to our success. PPI is deeply embedded in our culture and empowers colleagues across the company to operate with agility. The mindset of finding a better way every day is a core part of our culture and gives me great confidence in our ability to manage through the current environment. We have a proven track record of actively managing the company and consistently delivering strong operational performance. As a reminder, a few areas of focus for the PPI Business System in 2026 are: driving an accelerated level of cost productivity, deploying AI at scale to run the company better, and the continued mitigation of tariffs. Our teams are proactively working to mitigate any potential impacts from higher inflation given the current macro environment.

Now I'd like to review our 2026 guidance at a high level. We are raising our guidance for the full year on the top and bottom line, incorporating the positive impact of Clario and the strong first quarter earnings performance. We are raising revenue guidance from a range of $46.3 billion to $47.2 billion to a new range of $47.3 billion to $48.1 billion, which represents 6% to 8% reported revenue growth over 2025 and continues to assume 3% to 4% organic revenue growth for the year. And we expect adjusted earnings per share to be in the range of $24.64 to $25.12, which represents 8% to 10% growth over 2025, an increase from our original guidance of $24.22 to $24.80. Jim will take you through the details in his remarks.

So to summarize our key takeaways, we delivered a strong start to the year. We're raising our full year revenue and adjusted EPS guidance. Our end markets and our business are progressing in line with our expectations and we're on track to deliver a strong year. We've advanced our long-term competitive position in the quarter with high-impact innovation and important strategic collaborations. We're incredibly excited about the addition of Clario to our capabilities and we'll continue to leverage the strength of our PPI Business System to create value for our stakeholders while building an even brighter future for our company.

With that, I'll turn the call over to Jim.

James Meyer
Senior VP & CFO

Thank you, Marc, and good morning, everyone. I'll start by thanking Marc and Stephen for their support during my transition into the role. I've appreciated meeting many of you on the call over the past few months and look forward to continued engagement with the investor community. In my remarks today, I'll take you through an overview of our first quarter results for the total company and then provide color on our 4 business segments. And finally, I'll share details on our updated guidance for the year.

Before I get into the specifics of our financial performance, I'll provide a high-level view on how the first quarter played out versus our expectations at the time of our last earnings call. As you saw in our press release, we have a strong start to the year. We advanced our proven growth strategy, closed the acquisition of Clario and delivered strong earnings growth.

Let me begin with Clario, which was not included in our previous guidance. We were excited to complete the acquisition in late March and the business added $30 million of revenue and $0.01 of adjusted EPS to our first quarter results. The business is on track, and the integration is progressing well.

Turning back to the total company, both revenue and organic revenue growth were in line with our previous guidance for the quarter. On the bottom line, we delivered adjusted EPS in the quarter that was $0.14 ahead of our previous guidance. This included the $0.01 from Clario and $0.13 from strong operational performance, demonstrating our continued active management of the company and the power of the PPI Business System. So a strong quarter with excellent execution by the team, which enabled us to deliver Q1 financial performance ahead of what we'd assumed in our prior guidance.

I'll now provide you some additional details on our performance. Starting with earnings per share. In the quarter, adjusted EPS grew by 6% to $5.44. GAAP EPS in the quarter was $4.43, up 11% from Q1 last year. On the top line, Q1 reported revenue grew 6% year-over-year. The components of our reported revenue change included 1% organic growth, a 3% contribution from acquisitions, and a 2% tailwind from foreign exchange. As a reminder, in Q1, we had one less selling day than the prior year quarter. This impacted organic revenue growth by approximately 1 percentage point.

Turning to organic revenue performance by geography. In Q1, North America grew low single digits, Europe was flat and Asia Pacific was flat, with China declining low single digits.

With respect to our operational performance, we delivered $2.4 billion of adjusted operating income in the quarter, an increase of 6% year-over-year and adjusted operating margin was 21.8%, 10 basis points lower than Q1 last year. This includes approximately 80 basis points of headwind from tariffs and related FX versus the prior year. In the quarter, we delivered very strong productivity. This enabled us to fund strategic investments to further advance our industry leadership and largely offset the impact of unfavorable mix and the headwind from tariffs and related FX. Total company adjusted gross margin in the quarter was 40.8%. The drivers of adjusted gross margin are similar to those of adjusted operating margin.

Moving on to the details of the P&L. Adjusted SG&A in the quarter was 16% of revenue. Total R&D expense was $340 million in Q1, reflecting our ongoing investments in high-impact innovation. R&D as a percentage of our manufacturing revenue for the quarter was 6.9%. Looking at our results below the line, Q1 net interest expense was $120 million. The adjusted tax rate in Q1 was 10.5%, and average diluted shares were 373 million in Q1, 6 million lower year-over-year, driven by share repurchases, net of option dilution.

Turning to free cash flow and the balance sheet. Q1 cash flow from operations was $1.2 billion and free cash flow was $830 million after investing $370 million of net capital expenditures. During the quarter, we completed the acquisition of Clario for approximately $9 billion plus potential future performance-based payments. The business is now part of our Laboratory Products and Biopharma Services segment.

In Q1, we also deployed $3.2 billion of capital to shareholders through $3 billion of share buybacks and approximately $160 million of dividends. We ended the quarter with $3.3 billion of cash and equivalents and $43.2 billion of total debt. Our leverage ratio at the end of the quarter was 3.8x gross debt to adjusted EBITDA, and 3.5x on a net debt basis. Concluding my comments on our total company performance, adjusted ROIC was 11%.

Now I'll provide some color on the performance of our 4 business segments. In Life Sciences Solutions, Q1 reported revenue increased 13% versus the prior year quarter and organic revenue growth was 1%. The growth in this segment was led by our bioproduction business, which had another quarter of excellent organic growth. Q1 adjusted operating income for Life Sciences Solutions increased 14% and adjusted operating margin was 36.2%, up 60 basis points versus the prior year quarter. During Q1, we delivered very strong productivity, which was partially offset by unfavorable mix and the expected impact from the acquisition of our filtration and separation business.

In the Analytical Instruments segment, Q1 reported revenue was flat, and organic revenue decreased 2% year-over-year. Performance reflects muted demand for instruments from academic and government customers in the U.S. and China. In this segment, Q1 adjusted operating income decreased 11% and adjusted operating margin was 20.7% down 250 basis points versus the year ago quarter. The majority of the margin change was driven by the expected impacts of tariffs and related FX. Beyond that, we delivered good productivity. It was more than offset by lower volume and unfavorable mix in the quarter.

Turning to Specialty Diagnostics. In Q1, reported revenue declined 1% year-over-year and organic revenue declined 3%. Performance in this segment reflects the impact of one less selling day in the quarter and a strong year-over-year comparable. In Q1, growth in this segment was led by our transplant diagnostics business. Q1 adjusted operating income for Specialty Diagnostics increased 3% and adjusted operating margin was 27.4%, 90 basis points higher than Q1 2025. During the quarter, strong productivity and favorable mix were partially offset by lower volume.

Finally, in the Laboratory Products and Biopharma Services segment, reported revenue increased 7% and organic growth was 4%. In Q1, growth in this segment was led by our clinical research business and our research and safety market channel. Q1 adjusted operating income in the segment increased 6% and adjusted operating margin was 12.9%, 10 basis points lower than the prior year quarter. In the quarter, we delivered very strong productivity, which was more than offset by unfavorable mix, strategic investments and expected headwinds from foreign exchange.

Turning to guidance. As Marc outlined, we're raising our 2026 full year guide to reflect the strong start to the year and the acquisition of Clario. We now expect revenue to be in the range of $47.3 billion to $48.1 billion, and adjusted EPS to be in the range of $24.64 to $25.12 representing 8% to 10% adjusted EPS growth. Our updated guidance for the year continues to assume 3% to 4% organic revenue growth. The midpoint of our organic growth guidance continues to be slightly above 3% and we continue to assume a $300 million tailwind to revenue from foreign exchange for the year.

At the midpoint, the guidance includes $900 million higher revenue, 20 basis points of additional margin expansion and $0.37 higher adjusted EPS compared to our previous guidance. This incorporates the acquisition of Clario, which increased our 2026 revenue guidance by $900 million and added $0.32 of adjusted EPS net of financing costs. At the midpoint, the increase in adjusted EPS reflects the contribution from Clario and the strong operational performance in Q1, partially offset by an assumption for higher inflation in future quarters that we are actively working to mitigate. In terms of adjusted operating margins, our guide has increased to 70 basis points of expansion for the year, including the addition of Clario and the strong performance we delivered in Q1. We are continuing to actively manage the company and drive excellent operational performance, enabling us to increase our guidance for the year while navigating a complex macro environment.

Let me provide you some of the modeling elements for the full year. We expect approximately $660 million of net interest expense, which now includes financing for the Clario acquisition. We continue to assume that the adjusted income tax rate will be 11.5%. We expect between $1.9 billion and $2.1 billion of net capital expenditures and free cash flow in the range of $6.9 billion to $7.4 billion for the year, both reflecting the addition of Clario.

In terms of capital deployment, we're assuming $3 billion of share buybacks, which were already completed in January and that we'll return approximately $700 million of capital to shareholders this year through dividends. We estimate the full year average diluted share count will be between 370 million and 375 million shares.

Now let me provide some color on phasing for Q2. Aligned with the quarterly progression in our original guidance, we are assuming organic revenue growth of about 3% for the second quarter. We expect Q2 adjusted EPS to be between $0.25 and $0.30 higher than Q1.

So to conclude, we had a strong quarter. We executed very well to deliver on our commitments. We are thrilled to have welcomed Clario to the company, and we are raising our adjusted EPS guidance for the year.

With that, I'll turn the call back over to Raf.

Rafael Tejada
Vice President of Investor Relations

Operator, we're ready for the Q&A portion of the call.

Question-and-Answer Session

Operator

[Operator Instructions] Our first question comes from Michael Ryskin from Bank of America.

Michael Ryskin
BofA Securities, Research Division

Great. Marc, let me start with sort of a high-level one. A lot of questions from investors, both this morning and just over the last couple of weeks has been -- the acceleration as you go through the year. Investors are increasingly worried about the ramp and given some of the end market concerns lingering macro pressures. You touched on a couple of those when you were talking about the first quarter.

So what would you say to sort of assuage some of those fears about the ramp needed to hit the full year guide? You talked about -- you did 1% in the first quarter, as Jim just called out, 3% for the second quarter. I think a lot of people are assuming sort of like 3% in the third quarter and then 5% in the fourth. You've got days impact in there. But beyond that, just sort of talk about the confidence of the improvement in performance as you go through the year.

Marc Casper
Chairman & CEO

Yes. So Mike, thanks for the question. When I step back and look at the quarter, I had the opportunity to see many customers during the quarter. And of course, the macro is challenging with the war in the Middle East and so forth. But it's actually -- not actually even in the customer's thinking in a good way. They're focused on their pipelines. They're focused on the scientific advances. I mean it's an incredibly exciting time about what's going on in our industry. The markets played out as we expected in the first quarter. We understand the ramp, but the ramp is not really assuming a change in the underlying market conditions. This happens to do with comparable days, things of that sort. So it's nice to have a good quarter behind us. And then we step up in a logical way from there.

But Jim, maybe you want to talk a little bit about the phasing?

James Meyer
Senior VP & CFO

Yes. When you think about the phasing from Q1 to Q2, you have the impact of the headwind from days in Q1 that doesn't exist in Q2, and you also have a significant comparable change in Analytical Instruments. So that's really the step-up -- is those two drivers, Q1 to Q2. And then if you think about the first half to the second half, you obviously have the impact of days, the headwind in Q1, the tailwind in Q4 and you have a meaningfully different revenue phasing profile in pharma services that impacts both to this year. in last year. So our pharma services business delivers much stronger growth in the second half of the year aligned with kind of how we modeled the year to start it.

Michael Ryskin
BofA Securities, Research Division

Okay. And then a follow-up, if I could. I mean, it sounds like you had another good strong quarter in pharma and biotech. You called out bioproduction, you called out clinical research continue to do well. Is there anything in particular that kind of offset that? I think you touched on weaker U.S. A&G and in China, maybe a little bit softness in diagnostics. So is there just any moving pieces in terms of what came out worse than expected to offset some of the strength in pharma and biotech?

Marc Casper
Chairman & CEO

No. I mean as I think about the end markets and the growth that we delivered even by the various -- 4 end markets, they pretty much were what we expected to happen during the quarter. So we knew that pharma and biotech would be the strongest growth of that end market. That was our expectation, it was. The strength actually was broad-based in terms of the momentum there. So I don't think there was really anything that was materially different, I'd say, in the tiny categories, you had a weaker respiratory season, but it's really in the irrelevance in terms of the scale of it. So that probably shows up in -- all positive to that, this shows up elsewhere in some minor numbers. But pretty much a very predictable quarter that our team did a nice job executing against.

Operator

Our next question comes from Tycho Peterson from Jefferies.

Tycho Peterson
Jefferies LLC, Research Division

Marc, just maybe picking up on that biopharma thread, curious if you could talk on PPD. I think one of your peers had light bookings last night, obviously, you're coming off a very strong fourth quarter. So curious what you saw in the quarter on PPD. And then is the biotech funding, which has been okay here, is that starting to translate into spending? And then just early feedback on Clario too from some customers and how we think about the combination there.

Marc Casper
Chairman & CEO

Yes, Tycho, thanks for the question. Clinical research has had an excellent quarter. And whether you're starting to say sequentially, how is the business progressing nice step-up in organic growth. But then when you look at it year-over-year, really nice growth organically, both in revenue and authorizations, the customers really value our capabilities. So early read is we're continuing our share gain momentum. And the conditions are actually improving. It's not a surprise, but you're seeing biotech environment is improving from a funding perspective. That's a good thing from our perspective. And I'd say the sentiment continues to get stronger from that perspective. And there's lots of good opportunities that we've been able to close, but also a nice funnel of activities as well.

When I think about our accelerated drug development capabilities, where we simplify the process, we reduce complexity, take time out, that's highly valued by our customers. It's unique to us because we're able to leverage the insights of our development and manufacturing organization as well. So that's going very well. And we're embedding AI into our capabilities per that collaboration we had announced some time ago with OpenAI and customers value that, and that positions us very well. So business is quite healthy and our trusted partner status is really progressing. If I think about just the amount of dialogue, I've had with our biotech customers and our pharma customers recently, they're really excited about what we're doing together.

Clario is exciting, right? We just closed it. I think it was March 24, when I was there for day 1. And the early feedback from customers even from announcement to close is they're very excited about the technology that Clario has, and how we think about bringing the major endpoints together in an easier way for them to execute their clinical trials. So I actually am very excited about the acquisition and looking forward to the value unlock that is going to bring for the company and for our customers.

Tycho Peterson
Jefferies LLC, Research Division

Great. And then maybe just a quick follow-up on Analytical Instruments. Obviously, everybody has kind of been dealing with the academic government headwinds. I guess as we kind of think about that business for the remainder of the year, how are you feeling about a recovery on the instruments side?

Marc Casper
Chairman & CEO

Yes. So when I think about the instruments business, as you said, the market conditions are kind of below the normalized level, it's really driven by the academic and government environment in the U.S. and China. Our innovation is super strong. So I actually feel very good about what's ahead. If you just think about how much time I spent in my script just on product innovation out of the instrument business, whether it's the next cryo-EM, whether it's our new mass spectrometer or new handheld, just a small sampling of what we launched. And ASMS is going to be awesome for us in June. So really, that's going to be exciting in terms of what's ahead.

The comparisons are a little odd this year. We know them. So there's nothing new, but the comparison for Analytical Instruments, as Jim said, is much easier in Q2 because it was affected by the implementation of tariffs. So you'll see the growth normalize in the first half, in a certain respect, in the business.

Operator

Our next question comes from Jack Meehan from Nephron Research.

Jack Meehan
Nephron Research LLC

Marc, I wanted to get your thoughts around AI as you -- this is obviously a huge topic for the market. As you look across the business segments, can you talk about how adoption might be influencing your customer spending behavior? And I'm not sure if you're planning an Analyst Day or not, but any color you can share on new offerings you might be able to highlight that leverage your data in Clario?

Marc Casper
Chairman & CEO

Yes. So Jack, thanks for the question. So I was going to have in my closing remarks that we're going to have our Analyst Day the morning of May 20. So we will do that, and we're quite excited to see our analysts in New York that day.

In terms of artificial intelligence, super exciting, actually. And when I think about the role that AI is playing with our customers, it's accelerating scientific discovery. It's deepening understanding and it's ultimately going to accelerate bringing new medicines to patients faster to address significant unmet medical needs. And when I think about what it means is, we believe that AI is going to improve the returns on investment for the drug development industry. That means that there'll be more products that will be coming through the pipeline and ultimately will create an enhancement of funding interest in the biotech community. So we actually think it's a meaningful positive.

And for our company, obviously, the good end market matters, and that will help us. But we see it as a significant positive for Thermo Fisher Scientific as we're exceptionally positioned to shape it and benefit from it, both in our clinical research business, we talked about that in the past with OpenAI. NVIDIA is really across our technology businesses, our instrument businesses, parts of Life Sciences Solutions, and it's going to make our portfolio of capabilities stronger and really amplifies what differentiates us: our scale, our portfolio breadth, our trusted partner status and obviously, great execution. We believe that AI is going to accelerate and enhance our durable competitive advantage that we've had. So it's an exciting time, and we're looking forward to continue to drive the adoption that makes a huge difference for our customers.

Jack Meehan
Nephron Research LLC

Cool. Yes. I'm looking forward to May 20. Jim, one follow-up. You called out higher inflation a few times in the script. I was wondering if you could just elaborate like what areas you might be seeing that in and what the strategy is around offsets and productivity?

James Meyer
Senior VP & CFO

Yes, Jack, thanks. Given the daily variability in oil prices, we felt it appropriate to put a placeholder in the guide for future quarters for the risk of inflation that we aren't fully able to mitigate within a year. The teams activated to offset it and mitigate it, and we expect to be able to do that, but just a wide range of outcomes that was prudent to put something in there.

The areas you see it first is in the shorter-term kind of supply chain logistics and transportation. And we started to see some of that and the team is actively executing against that. But right now, it's just a placeholder, given the variability.

Operator

Our next question comes from Dan Arias from Stifel.

Daniel Arias
Stifel, Nicolaus & Company, Incorporated, Research Division

Marc, last quarter, the way that you and Stephen framed the year was to sort of say that you're looking to retire risk as you go along here. When you're answering Mike's question, you talked to some of the moving parts on the macro that have sort of cropped up as new, but I'm curious if you think there's anything that's sort of an offset there that maybe 90 days later, you're feeling a little bit better about and would sort of consider being retired at this point.

Marc Casper
Chairman & CEO

You know every year we have expectations of how things are going to play out based on our experience and our deep knowledge of working with our customers. When it goes exactly as we thought, which is what Q1 was, that retires risk, right, in terms of the world was as we thought it would be. Our operating discipline was even stronger than what we embedded in our guidance, which is allowing us to raise our earnings outlook. And customer sentiment is actually quite strong.

If I think about what pharma customers and the biotech customers are interacting with us on, they are excited about their pipelines, excited about the improving environment from their own end markets, the fact that they've reached agreements with the U.S. government, things are good in that industry and getting better, and that bodes well. So I feel from that perspective, retire risk.

In one of our normal conventions, if I think about the earnings side of the equation, normally, we would have beat by the $0.13 operationally. We largely just flow it through the P&L. The only reason we didn't do 100% of that is, there's volatility, as Jim said, in inflation. Nobody has a crystal ball exactly how it is. What I do know is our team is fully focused on offsetting it with all the levers. I believe that if it's relatively modest, we will offset it all, and that will all flow through the bottom line, what we held back. But if the world gets really challenging from an inflation perspective, then we've given ourselves a little bit of a cushion to deal with it. So I feel good as we sit here in late April about what the year is. We obviously raised our outlook and excited to deliver a great year.

Daniel Arias
Stifel, Nicolaus & Company, Incorporated, Research Division

Okay. Helpful. And then, Jim, for the quarter, you had the selling days issue that was mentioned, but I think that there might have been also some phasing in pharma services that was material. Is that a quantifiable amount? And I think you characterized the combination of those two as a couple of points. So the normalized number for 1Q is more like 3%, and you're pointing to 3% or so for 2Q. Is the general assumption that it's kind of status quo across the board when it comes to end market conditions or is it more puts and takes some improvement in one place, maybe a step back and other places, and so that's kind of where you net out? I guess I'm just kind of curious about how you see 1Q to 2Q in the context of where a more normalized 1Q number might be.

James Meyer
Senior VP & CFO

Yes, thanks. Your characterization is correct. So the 1% growth in Q1 was impacted by about 1 point from the impact of selling days, and about 1 point by the impact of the timing of revenue phasing in the pharma services business. In Q2, there's puts and takes, but in the aggregate, your summarization is correct.

Operator

Our next question comes from Matt Larew from William Blair.

Matthew Larew
William Blair & Company L.L.C., Research Division

Just wanted to follow up on Jack's question on AI, but also the instrument innovation highlights you shared. It seems like there's going to be an enhanced emphasis on scale, automation, connectivity and auditability or proof of work both for large-scale generation of biological data and in autonomous labs. I think the breadth of your portfolio alone might be an advantage, but as you think about the way your instrument exists today and what kind of enhancements or changes you might make in the future, how does -- how customers might shift the way they are using your instruments affect the way that you're thinking about developing them?

Marc Casper
Chairman & CEO

Yes. So Matt, excellent question. So if I think about one of the real interesting aspects, and I like the way you characterize it, of the adoption of AI in the research aspects of the lab work, you're seeing experimentation scale up and will scale up in areas that it would never have happened in the past, right, which is just large-scale generation of biologic information to effectively create biology models, right? So as opposed to what people normally do, which is they're looking at their particular area of interest, you're now seeing very wide-scale large volume labs that are just trying to build biology models, if you will.

And so when you think about what those customers need, they want the instruments to be more automated or more automated-ready, and they want it to be easy to effectively have the data be able to populate their own models, right? Those are a couple of the trends, it's not a -- it's a trend that we've been aware of for actually a number of years, long before generative AI, right, in terms of what customers would have in the past called it the lab of the future or lab-in-the-loop. That's not a new thing, but you're seeing very scaled facilities coming online and our technologies are being adopted. So as part of our R&D road maps about how do we create better connectivity, and we feel good about what we're doing there.

Matthew Larew
William Blair & Company L.L.C., Research Division

Okay. Great. And then on reshoring, I think that was probably a 2027-and-beyond item. I think an industry conference this week heard that people are seeing RFPs. Would just be curious your level of confidence that, that will remain a tailwind? And what sort of the activity level has been like for Thermo?

Marc Casper
Chairman & CEO

Yes. So when I think about the reshoring activity, it's actually a nice tailwind, right, in the '27, '28 time frame, what we've been able to already secure, start first with our CDMO business, right? A number of customers have decided that leveraging our capabilities is the best way to meet their production requirements in the U.S. So you've seen on the -- some announcements and some topics that we've talked about there.

And in fact, President Trump visited our drug product site in Cincinnati, Ohio as part of -- when he was talking about health care, which was really about reshoring in a way in terms of what we're doing, and that's a site that would benefit from those growth in jobs and so forth. So there's real momentum and contracts signed.

In bioproduction, we expect that the revenue is largely a '27 and '28 activity. We've won some business already in terms of in kind of industry parlance, brownfield facilities that are scaling up. So you see some of that. So that increases the confidence that you'll see even more revenue in '27 and '28. So really a nice positive. And then what I would say is our bioproduction business had a phenomenal quarter, but phenomenal in terms of just very strong growth from what we've seen, of what others have reported for in excess of that. So the team is doing a great job in terms of delivering on our customers' needs, and we feel very good about the prospects of our business. And view reshoring as an incremental tailwind that will develop over the next couple of years. So thank you for the question.

Operator

Our next question comes from Dan Brennan from TD Cowen.

Daniel Brennan
TD Cowen, Research Division

Congrats on the quarter. Maybe just on pharma, Nice quarter again. I'm just wondering on the preclinical side market, it's hard for us to track, but I know it's a big part of the business, and I think maybe that's been an area that was not invested in as much with MFN and IRA. Can you just speak to a little bit what you're seeing in that part of the business? Has it been a bit of a drag on your business? And is that something that we could see get better this year?

Marc Casper
Chairman & CEO

Yes. So Dan, thanks for the question. So when I think about the business serving, I'll call it, the lab-based portions of pharma and biotech. And it's a little bit hard for us to -- we don't discern in our own data, whether it's going to a QA/QC lab or it's going to a research lab because customers don't manage that segregation so much, but I think it's a rough proxy. We're seeing good momentum in the channel business there in the, what I'll call the higher tech portfolio of the life science reagents, a little bit softer but still progressing in the right direction. So I would say that of the businesses, that's one that we're seeing the signs of a pickup. And I feel okay about how that's progressing going forward. So hopefully, that's helpful.

Daniel Brennan
TD Cowen, Research Division

No, it is, Marc. And then just on U.S. academic and government, just wondering if you can elaborate a little bit on how that's been progressing. Obviously, I think there's hopes that things hopefully are bottoming out and starting in a little bit better. So I'm just wondering if you -- are you seeing any signs of that? Just remind us how you think about what you're assuming for the rest of the year in U.S. academic and government?

Marc Casper
Chairman & CEO

Yes. So Dan, in terms of the conditions in the U.S., when I think about the quarter played out as expected, muted conditions, for sure. The passage of the budget in late January is good in terms of being a positive. We saw funding flows start to improve during the quarter. That's also a positive. Our assumption is that for the year, we would see greater stability in the U.S. end market improving modestly over time. But not back to normal is what we've assumed kind of in aggregate, similar to what we saw last year.

Operator

Our next question comes from Casey Woodring from JPMorgan.

Casey Woodring
JPMorgan Chase & Co, Research Division

Maybe if you can just walk through the Specialty Diagnostics performance in the quarter and the mid-single-digit decline there. I think you called out strength in transplant and minimal impact from respiratory but maybe just walk through where the softness occurred in the quarter. I think we've seen a couple of reports of a weaker microbiology market in China. So just wondering if that contributed there. And then any color on pacing in Specialty Diagnostics for the rest of the year? I think you have an easier comp coming up in 2Q and tougher comps in the back half. So just how do we think about the growth cadence there?

Marc Casper
Chairman & CEO

Yes. So Casey, probably stepping back on the business. Where we play in Specialty Diagnostics, a highly differentiated, profitable business, really focused on high-value clinical insights. And so the technology capabilities are very strong. And when you think about that, we cover the range from immunodiagnostics, transplant diagnostics, biomarkers, protein diagnostics for multiple myeloma. All of those things are incredibly important to the health care systems around the world.

When I think about the particulars of Q1 performance, this business is almost entirely consumable. So it has the more significant impact from the days. It also had a tougher comparison versus the prior year because of respiratory, which obviously doesn't repeat in the second quarter. So the phasing is that, that business improves as the year progresses. And so it's performing in line with what we would expect. So thank you.

Casey Woodring
JPMorgan Chase & Co, Research Division

Got it. That's helpful. And then maybe just a quick follow-up on China. Just curious to hear how performance in the region played out relative to your expectations across your different businesses. I think you called out a bit weaker academic in the region. So maybe just walk through the sort of portfolio, particularly the pharma end market in China. And then curious if you'd expect China to return to growth at any point this year?

Marc Casper
Chairman & CEO

Thanks. So as a reminder, China is about 7.5% of our revenue. We had low single-digit decline in the quarter. Conditions are muted in aggregate as you mentioned, academic and government weaker. Actually pharma and biotech performing well in the country and we're well positioned to capture opportunities as the conditions improve.

I was in China in March, I participated in the China Development Forum, incredibly productive visit, right? And I had the opportunity to engage with a number of our customers, our team, with government stakeholders, I actually left China incrementally more positive coming out, particularly as what I did see is that China pharma and biotech customers, the innovators, see the value in doing more work with a company like us because when they're competing with another Chinese company, actually, our technology and capabilities is a differential advantage for them, and they're trying to license some of these technologies to the West.

And therefore, I actually think we're very well positioned to benefit from that trend. And so I think we're a little bit incrementally positive on China. We're not assuming any meaningful growth coming out of China this year. And when I think about upside over time, China will be an upside that we didn't embed even into our longer-term viewpoint that if that returns to stronger growth, and obviously, that will create an incremental tailwind.

Rafael Tejada
Vice President of Investor Relations

Operator, we'll take one more question.

Operator

Our final question comes from Justin Bowers from Deutsche Bank.

Justin Bowers
Deutsche Bank AG, Research Division

So Marc, the research and safety market channel was a strong contributor to growth in 1Q. Can you help us understand how indicative of that is in recovery in the end market versus ongoing market share gains? And likewise, the clinical business has also recovered nicely, PPD is taking share. Can you help us understand the appetite for customers to reinvest in early stage and for your upstream in R&D and what you're seeing there?

Marc Casper
Chairman & CEO

Justin, thanks for the questions. So on the first one, on our research and safety market channel, business is doing well. And it is actually a blend of both improving end market conditions as well as market share gains, there's both. And so I feel good about how that business has performed for quite some time and it continues to progress in a very nice direction. So that one is well positioned and is benefiting from a combination of market conditions and good execution.

In terms of clinical research, and we're seeing it in strong -- in terms of customer interest and reinvestment in those things. We had a strong quarter of authorizations growth, and we actually have a very strong pipeline as well, right? So authorizations of what you've signed up, pipeline is what's -- what you're working on that is not yet in the decision process. Both are -- have moved nicely in terms of how that business has been progressing. And actually, that business is progressing as we thought it would this year, right, in terms of stepping up in performance. And it was good to see that not only that those wins that we've been talking about for a few quarters have actually translated into good growth in terms of what we delivered as well. So good news on both fronts.

So let me wrap with a quick -- thank you so much, Justin. So let me wrap with a quick couple of comments. First, thank you to everyone for participating in our call. We're pleased to deliver a strong quarter, and we're on track to deliver a strong year, as we continue to create value for our stakeholders and build an even brighter future for our company.

We look forward to updating you at our Investor Day, which we've scheduled for the morning of May 20, as well as -- as the year progresses. As always, thank you for your support of Thermo Fisher Scientific. Have a good day, everyone.

Operator

Thank you. This now concludes today's call. Thank you all for joining. You may now disconnect your lines.

Read more current TMO analysis and news

View all earnings call transcripts

Comments

Sort by Newest

If you type a company or ETF ticker symbol in capital letters we will automatically link to the symbol page. You can remove the link by deleting the $ in the comment.